★ ★ ★ ★ ★

The Restaurant with 5-Star Reviews and Empty Tables

A hospitality paradox — and what the ratings never told us

Saffron & Sage | 12 outlets | FY 2025

Storytelling with Data · Final Group Presentation · August 2026

THE STAKEHOLDER

Meet Ananya Rao, COO of Saffron & Sage

A 12-outlet casual-dining chain across Chennai, Bengaluru, Hyderabad and Kochi. In her January board review she will be asked one question she cannot currently answer: why is the best-rated year in company history also its worst year for footfall?

BUSINESS PROBLEM

Footfall is falling 23% a year while satisfaction metrics improve. Ananya does not know which lever to pull — and every month of delay costs revenue she cannot win back.

Her decision by 31 January: where to commit a ₹1.2 crore turnaround budget.

12
Outlets

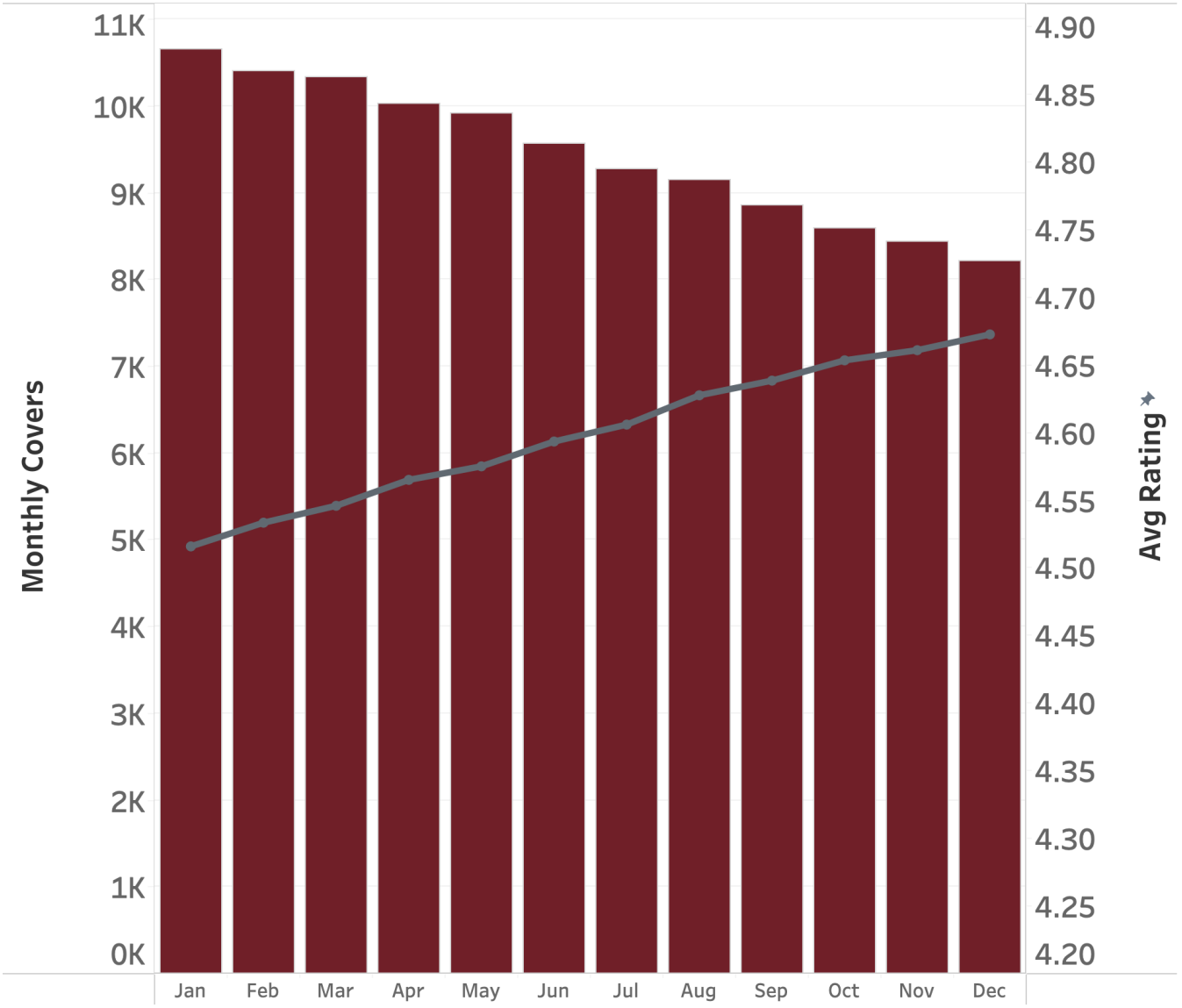
₹94 Cr
FY25 revenue

4.68★
Google rating

-23%
Footfall

THE PARADOX

The rating went up. The room emptied out.



-23%

covers, Jan → Dec
14,200 → 10,950

+0.16★

rating, Jan → Dec
4.52 → 4.68

Twelve months. Two lines. They should move together — they move apart.

HOW WE INTERROGATED IT

Four questions we put to the data

1

Is the decline real, or an artefact of how covers are counted?

Validated against POS bill counts, not door sensors.

2

Is it explained by any external factor?

Price, competition, location, seasonality — tested one by one.

3

Who exactly is missing — new guests or returning ones?

Decomposed every cover by guest visit history.

4

Does our satisfaction metric actually measure satisfaction?

Traced every review back to the visit that produced it.

EXPLORATION

Four suspects. All of them plausible.

Every one of these is the answer a management consultant would reach for first. We tested each against the data before we allowed ourselves a new hypothesis.



SUSPECT 01

Pricing

We raised menu prices and priced ourselves out.



SUSPECT 02

Competition

New restaurants opened around our outlets.



SUSPECT 03

Location

A few weak outlets are dragging the chain down.



SUSPECT 04

Seasonality

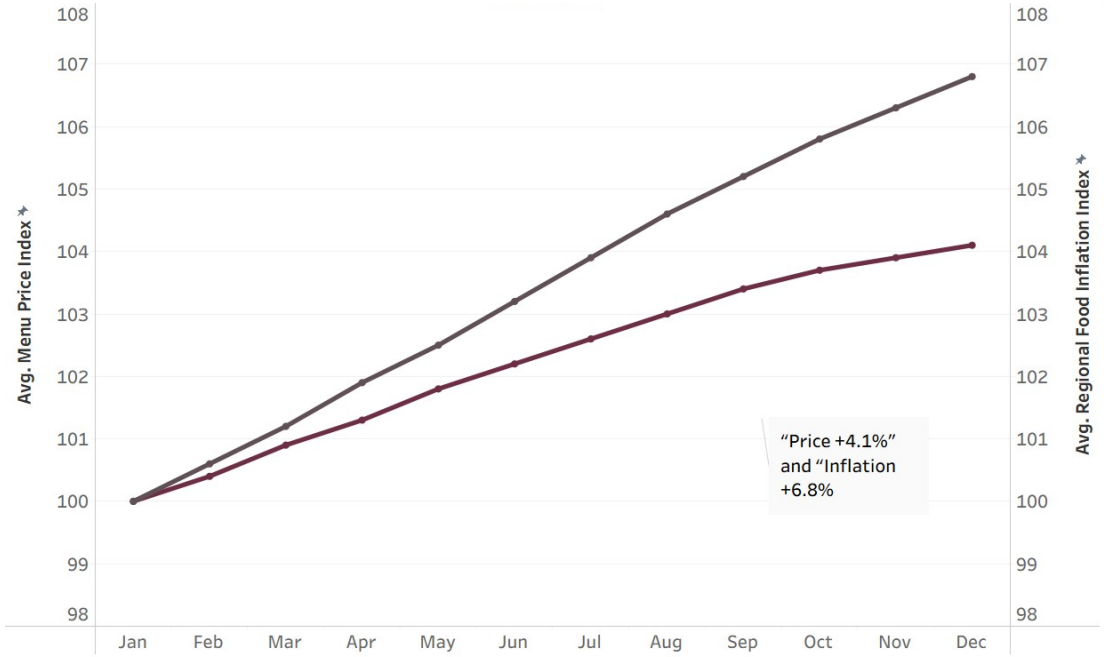
This is a normal annual cycle, not a decline.

Spoiler: all four are innocent.

ELIMINATION 1 AND 2

Not price. Not competition.

SUSPECT 01 - PRICING



We raised prices 4.1% while the market rise by 6.8%. IN real terms, Saffron and Sage got cheaper.

SUSPECT 02 - COMPETITION



Outlets with a new rival next door declines 24.1%. Outlets with no rivals declined 22%. A 2-point gap explains almost nothing.

Both suspects released. The decline is happening everywhere, to everyone, regardless of price or rivals

ELIMINATION 3 AND 4

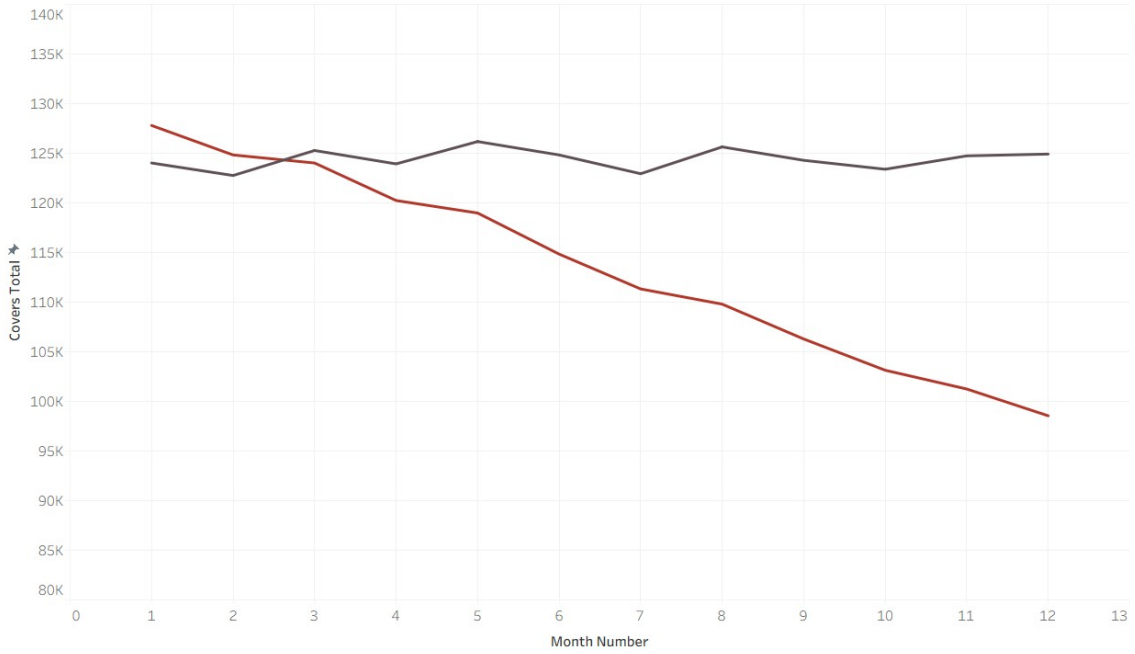
Not location. Not the season.

SUSPECT 03 - LOCATION



All 12 outlets fell, in a tight band from -18% to -27%
there is no weak outlet story here, this is systemic

SUSPECT 04 - SEASONALITY



Same months, same festivals, same monsoon. 2024 held flat.
2025 slides away from it every single month.

Four suspects. Four alibis. Which means we had been asking the wrong question

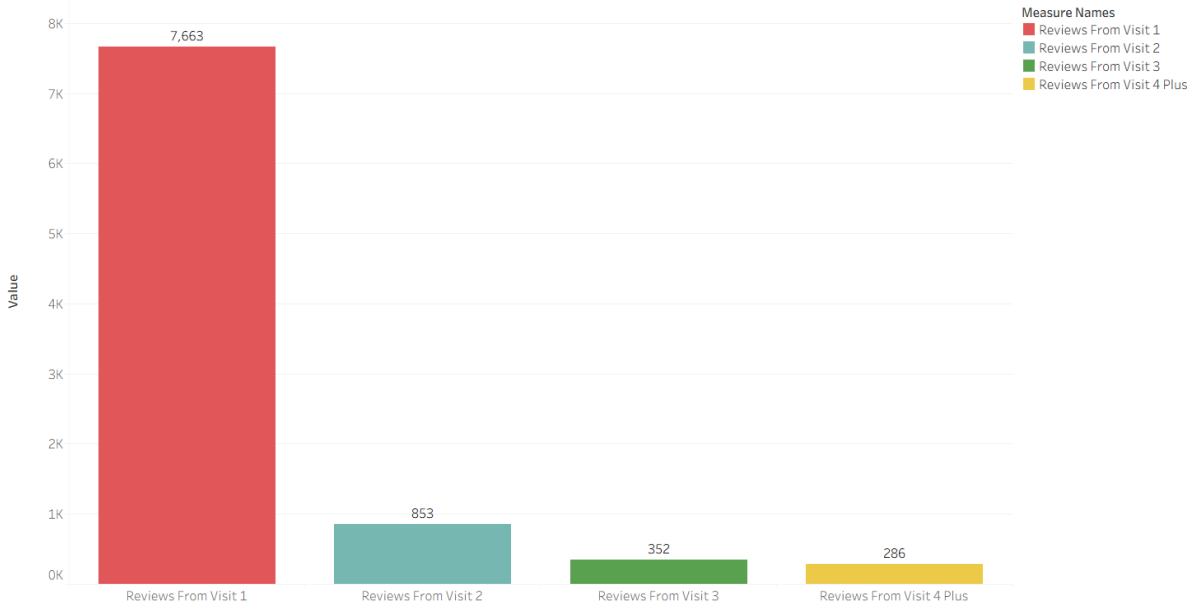
THE TURN

We kept asking
why people stopped coming.

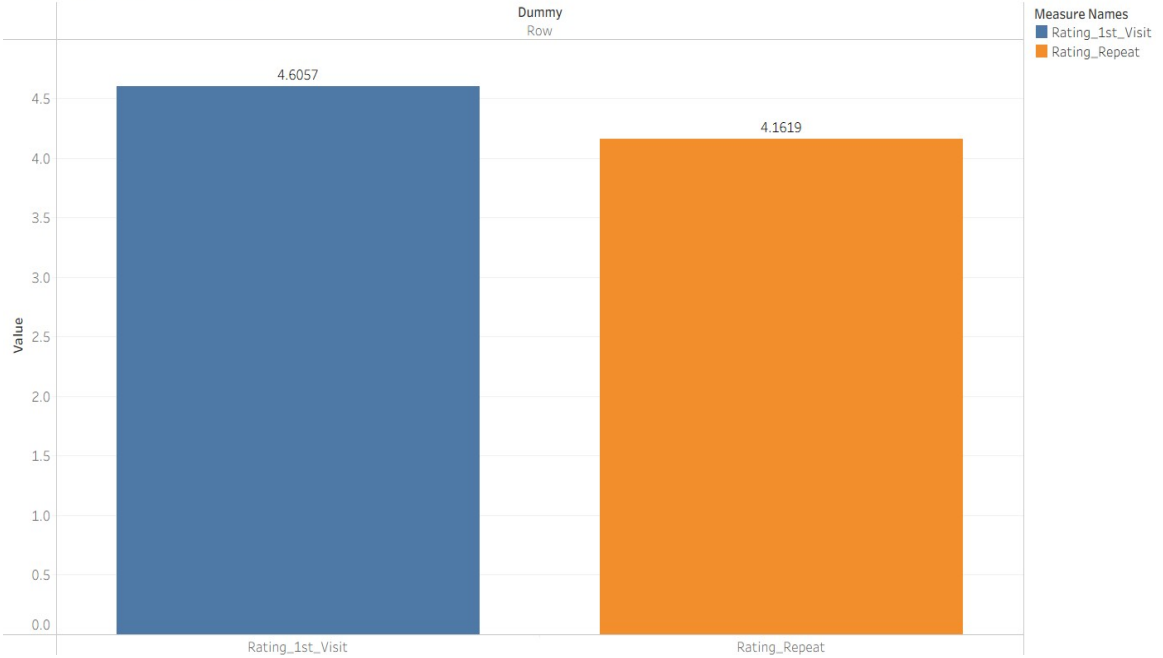
**We should have asked
who was still there to leave a review.**

So we stopped analysing covers, and started analysing reviewers.

86% of our five-star reviews come from first-time guests



Share of reviews, by which visit produced them

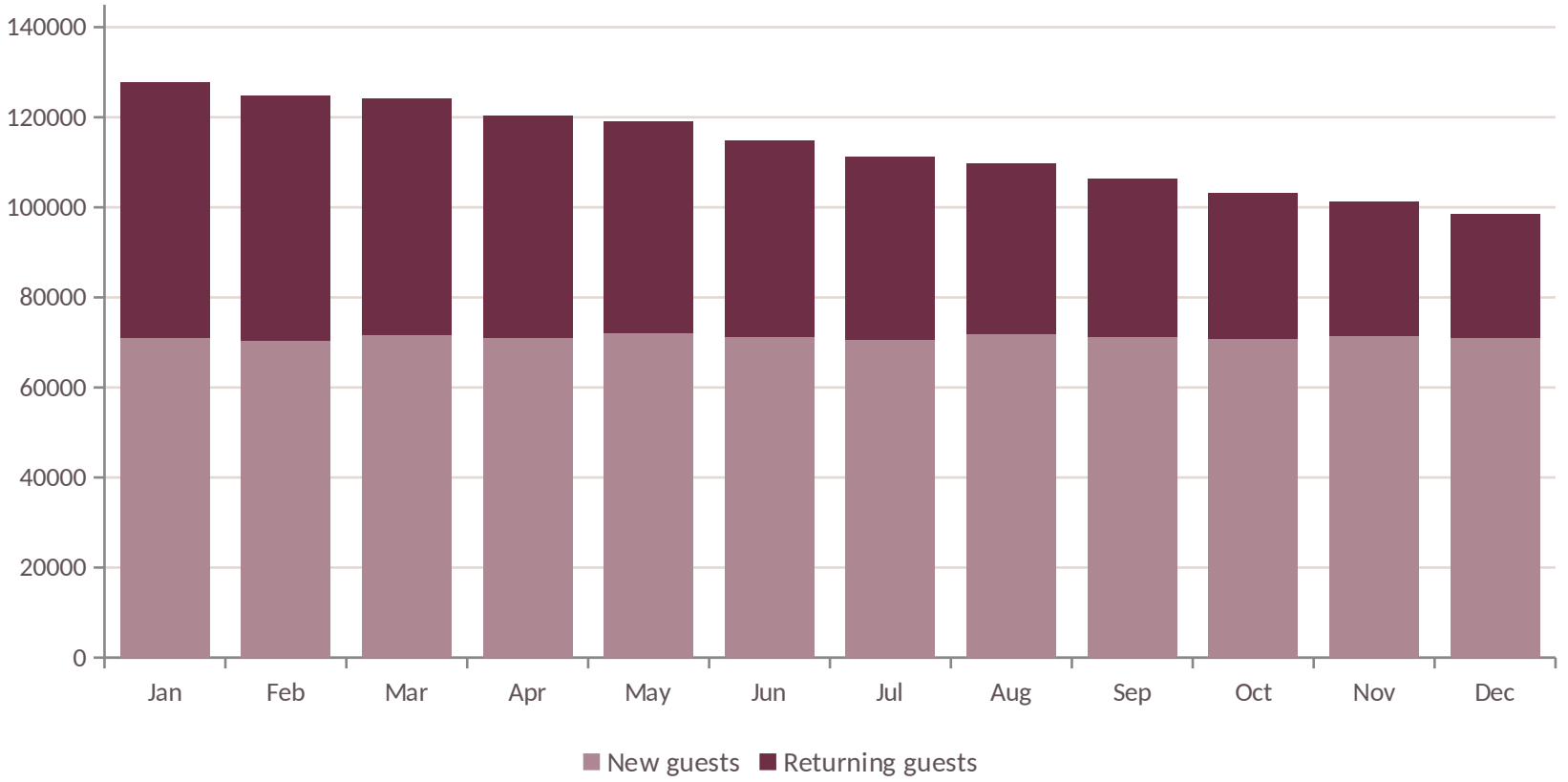


Average stars given, by the same visit number

The rating is not a measure of how good we are. It is a measure of how good our first impression is — and the people best placed to judge us are the ones least likely to be counted.

REVEAL · 2 OF 3

Acquisition is fine. Retention is collapsing.



Returning guests fell from 44% of covers in January to 28% in December.

±1%

change in new guests all year

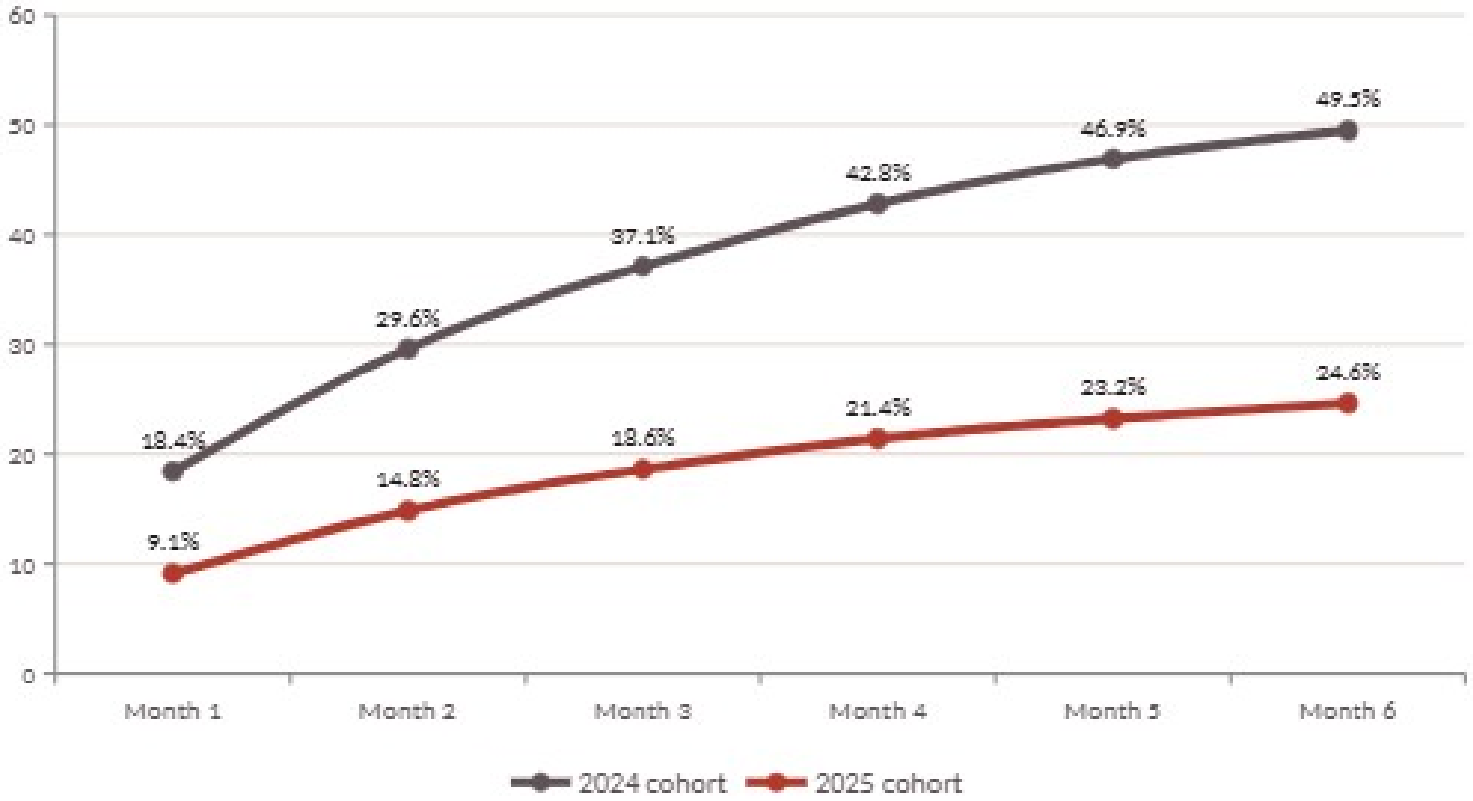
-52%

change in returning guests all year

Every rupee of marketing is working. The front door is fine. It is the back door nobody was watching.

REVEAL · 3 OF 3

Guests we won this year come back half as often



% of a first visit cohort that has made a second visit, by months elapsed

49.5% - 24.6%

Six-month return date
2024 vs 2025

340/-

spent to acquire each guest

810/- vs 610/-

a repeat guest's bill vs a first timer's

WHY NOBODY SAW IT

We were reading the bullet holes on the planes that came back

In 1943 the Allies armoured their bombers where returning planes were most damaged. Abraham Wald pointed out the flaw: the planes hit elsewhere never came back to be measured. Our rating system has the same blind spot.

> ***A star rating can only ever be written by someone who is still willing to come back and write it.***

Churn is silent by construction. There is no one-star review for the meal you simply never returned for.

94,940

guests dined with us in FY25

4,762 wrote a review

5.0% of guests — and they set the 4.68★

67,489 never came back

71% of guests — and they said nothing

The metric on the boardroom wall is built from the 5% least likely to be disappointed.

SO WHAT

What the silence has already cost

₹3.16 Cr

annualised revenue lost

at December's repeat-visit run rate

3,250

repeat covers lost per month

versus January 2025

₹1.1 Cr

spent re-acquiring guests

we had already won once

And the compounding problem:

Every month the rating rises, the case for changing anything gets weaker. The metric is not merely failing to detect the problem — it is actively arguing against fixing it.

₹1.2 crore of turnaround budget is currently earmarked for acquisition campaigns and a menu price review — both aimed at suspects the data has already cleared.

RECOMMENDATION

Move the ₹1.2 Cr from the front door to the back

1 Measure the churn you cannot see

Replace the star rating as the headline KPI with 90-day Repeat Visit Rate, reported by outlet every month. Trigger an exit survey to any guest 60 days silent.

OWNER	SUCCESS METRIC	TIMELINE	BUDGET
Head of Insights	90-day RVR live, all 12 outlets	Weeks 1–4	**₹15 L**

2 Win back the 67,489

Targeted return offer to lapsed guests, sequenced by past spend. These guests already know us — they cost nothing to persuade and spend ₹810 when they come.

OWNER	SUCCESS METRIC	TIMELINE	BUDGET
CMO	12% of lapsed guests reactivated	Weeks 3–12	**₹65 L**

3 Fix the second visit, not the first

Recipe and service audit on the dishes rated below 4.0 by repeat guests, plus a named-guest recognition flow for third visits onward.

OWNER	SUCCESS METRIC	TIMELINE	BUDGET
COO / Exec Chef	Month-6 return rate above 40%	Weeks 4–20	**₹40 L**

THE ASK

Ananya, change the number on the boardroom wall.

The 4.68★ is real. It is also the most flattering, least useful number this company owns. Retire it as a headline metric at the January board review and put 90-day Repeat Visit Rate in its place — starting with the twelve outlets, this quarter.

TODAY

4.68 ★

measures our first impression

FROM JANUARY

24.6% → 40%

90-day repeat visit rate — measures whether we deserved them

Because the guests who love you write reviews. The guests you lost just stop showing up.